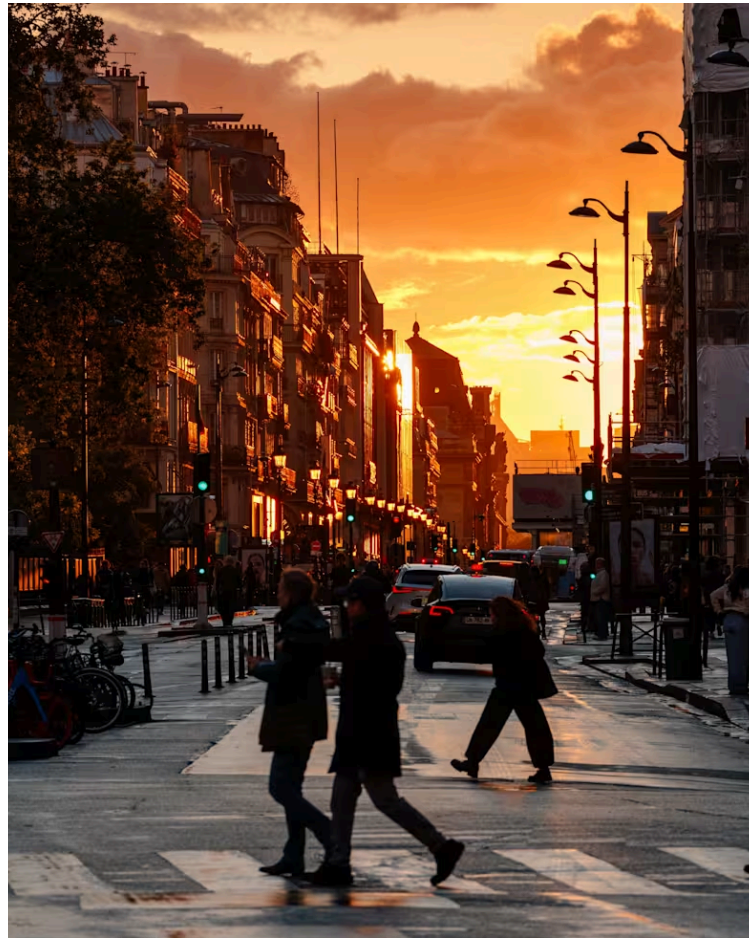


Eurozone economy

France replaces Italy as European bond investors' biggest worry

Paris's borrowing costs have been above Rome's for most of the summer amid concerns over upcoming budget and next year's elections



France is a 'perfect storm' for bond investors, says one analyst © Dilmatar Dilkoff/AFP via Getty Images

Emily Herbert, Madeleine Wright and **Ramsay Hodgson** in London, **Amy Kazmin** in Rome and **Claire Jones** in Washington

Published AUG 27 2026

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France is replacing Italy as the focal point for market concerns about European debt sustainability, say investors, as Paris faces tricky budget negotiations next month and ahead of a presidential election next year where support for far-left and far-right parties is rising.

The yield on Italy's benchmark 10-year [government bond](#), which for years traded well above that of France, has been below it for most of this summer, as bondholders demand extra compensation to buy French debt. Yields fall as prices rise.

Investors say this reversal of the historical trend signifies a big shift in how the market views the relative risks of the two countries.

“If you ask anyone in the markets, what is Europe’s weak link? They will mostly point to France,” said Rohan Khanna, head of European rates strategy at Barclays. “Italy has managed to pass the ball [to France].”

France is a “perfect storm” for bond investors, given the combination of “growth risk, political risk, fiscal risk”, added Khanna.



Italian bond yields dropped below France's last year for the first time since the financial crisis © Emanuele Cremaschi/Getty Images
Italy — one of the debt-laden so-called “Piigs” countries during the Eurozone debt crisis over a decade ago — has long been viewed as one of Europe’s riskiest borrowers, with a stock of public debt ranking among the continent’s biggest. France, in contrast, has generally been seen as a safer bet.

But with both countries facing tricky budget negotiations this autumn and elections next year, investors’ attention has returned to Paris’s deteriorating fiscal position and a growing likelihood of a victory for a less market-friendly candidate.

In Italy, a period of fiscal restraint and an unusually long run of political stability have won over a growing cohort of global investors.

“Italy is now the poster child of G7 bond markets,” said Adam Posen, president of the Peterson Institute think-tank in Washington and a former Bank of England rate setter.

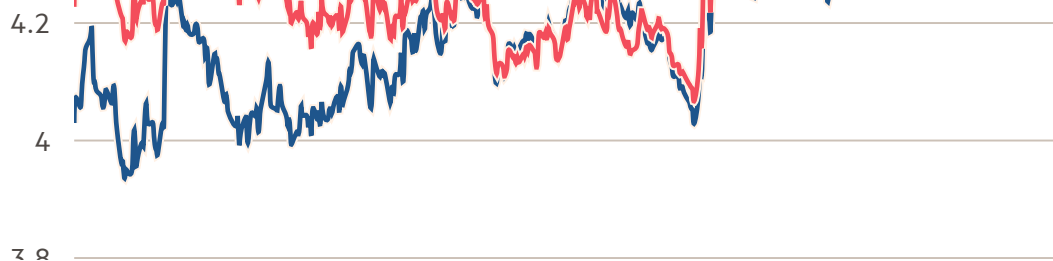
Gap between French and Italian bond yields narrows

10-year government bond yields (%)

Monthly



Daily



Whereas Italy's debt-to-GDP ratio has fallen from 154 per cent in 2020 to 139 per cent this year, France's has risen from 114 per cent to 117 per cent, according to ECB data.

Italy is also running a primary budget surplus — where tax revenue exceeds spending before interest costs — while France's budget deficit has widened to more than 5 per cent of GDP.

“It used to be that Italy was really the biggest risk for Europe, the one country everyone was really worried about . . . but I think now France is joining Italy quite rapidly,” said Tomasz Wieladek, chief European macro strategist at T Rowe Price.

There were signs of a “reallocation” by investors away from French bonds and towards Italy, he added.

French bonds have come under pressure in recent weeks as the government has begun revealing [details](#) of its budget plans, the full draft of which is expected to be presented to the National Assembly on September 30.

Finance minister Roland Lescure [said](#) this week that he was aiming for a deficit as close to 5 per cent of GDP as possible. The Socialists, whose support the minority government will require to pass the budget, are likely to oppose social spending cuts. French governments fell in both 2024 and 2025 during budget showdowns.

This year's budget only passed after Prime Minister Sébastien Lecornu agreed to suspend a reform to raise the retirement age until after 2027 in exchange for support to pass the legislation.

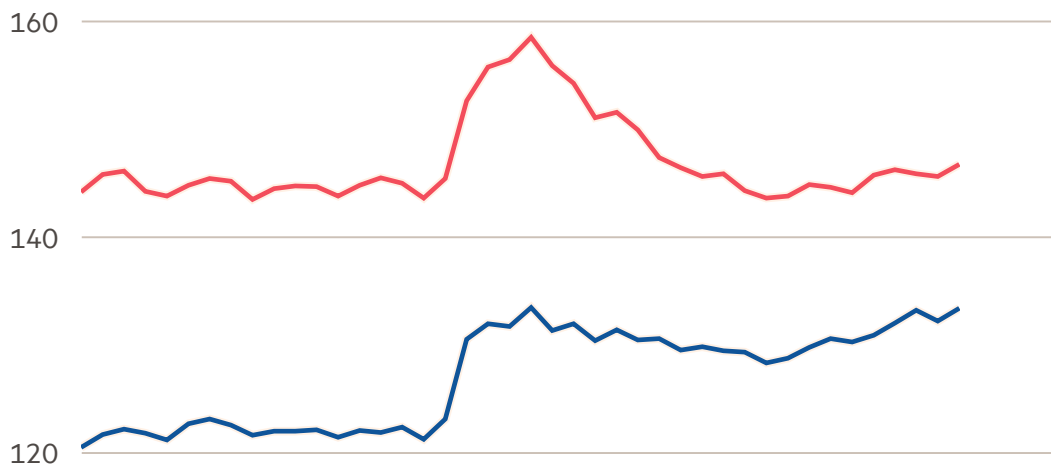
Despite initial market fears over fiscal profligacy or a hardline approach to Brussels, Italian Prime Minister Giorgia Meloni and finance minister Giancarlo Giorgetti have gained plaudits from bond investors for their strong fiscal discipline, with the fiscal deficit dropping from 8 per cent in 2022 — the year they took office — to just above 3 per cent last year.

Chris Jeffery, head of macro strategy at Legal & General, said he had a below-benchmark weighting in French bonds and was “partly reallocating that to Italy”.

“It's quite difficult to see many politicians making the pitch for the budget cuts when you've got the presidential election,” Jeffery said.

Italy's fiscal position has stabilised since the pandemic

Government debt-to-GDP ratio (%)



Other international investors have also been shifting their views on France and Italy, analysts said. Evelyn Gomez-Liechti, a multi-asset strategist at Mizuho, said Japanese investors — traditionally large holders of French debt — have been decreasing their allocation to French bonds.

“France is the new Italy,” Gomez-Liechti said.

Recent polling suggests it is increasingly likely that far-left Jean-Luc Mélenchon will secure a place in the run-off against far-right Marine Le Pen, a scenario Gomez-Liechti described as “the worst market outcome you could have”.

Filippo Taddei, senior Europe economist at Goldman Sachs, said the rising foreign share of Italy's sovereign debt holdings since March 2023 reflected the "normalisation" of its status, after years of being treated as a problem case following the 2008 global financial crisis.

"As money is reallocated throughout Europe, Italy is part of the reallocation, which was not the case in the past," Taddei said.

Italian bond yields dropped below France's last year for the first time since the financial crisis but quickly jumped higher again as the US-Iran war sent oil prices soaring.

Italy is especially sensitive to rising energy prices, whereas France produces more of its energy domestically. But despite oil prices rising above \$94 in August, France's yields have once again climbed above those of Italy.

A measure of the extra risk premium attributed by investors to long-term French debt — the 15-year, 15-year forward spread over the benchmark German forward rate, which removes near-term monetary policy expectations — has surged over recent years.

France was “not that far off Eurozone debt crisis levels of risk premia”, said Mike Riddell, portfolio manager at Fidelity International, adding that “the fiscal situation looks like a mess”.

But while Rome enjoys lower borrowing costs than France, at least for now, it faces plenty of pressure from the market not to veer from its fiscal path.

“The market has a memory,” said Goldman’s Taddei, adding that investors would not easily forgive Italy’s era of fiscal profligacy.

“Italy has to run a much more cautious fiscal policy than its peers France and Germany to be treated by market participants as well as France,” he said.

Additional reporting by Adrienne Klasa in Paris. Data visualisation by Ray Douglas

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